Taiwan Semiconductor Manufacturing Company Limited

Revenue	Net Income
$88.3B	$35.3B
25.0%	27.0%

Operating Margin	Free Cash Flow
45.7%	$26.5B
7.2%	178.1%

Executive Summary

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

TSM posted $88.3B in revenue (25.0% YoY) and $35.3B in net income (27.0% YoY) for 2024-12-31. Both top-line and bottom-line expansion signal broad-based operational momentum, suggesting the company is capturing demand while maintaining or improving cost discipline. The profitability profile is defined by operating margin of 45.7% and net margin of 40.0%, framing the earnings quality behind the headline figures.
Current ratio stands at 2.36x in the locked annual basis, providing a baseline liquidity reference. The quick ratio of 2.14x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $55.7B in operating cash flow (37.3% YoY), which converts to $26.5B in free cash flow (178.1% YoY). Capital expenditures of $29.2B (33.0% of revenue) show the reinvestment burden required to sustain the current operating base. The conversion of earnings into operating cash flow suggests the reported result is supported by cash generation rather than dominated by accruals.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$88.3B	$70.6B	25.0%
Net Income	$35.3B	$27.8B	27.0%
Operating Margin	45.7%	42.6%	7.2%
Current Ratio	2.36x	2.33x	1.4%
Free Cash Flow	$26.5B	$9.54B	178.1%

Revenue
$88.3B

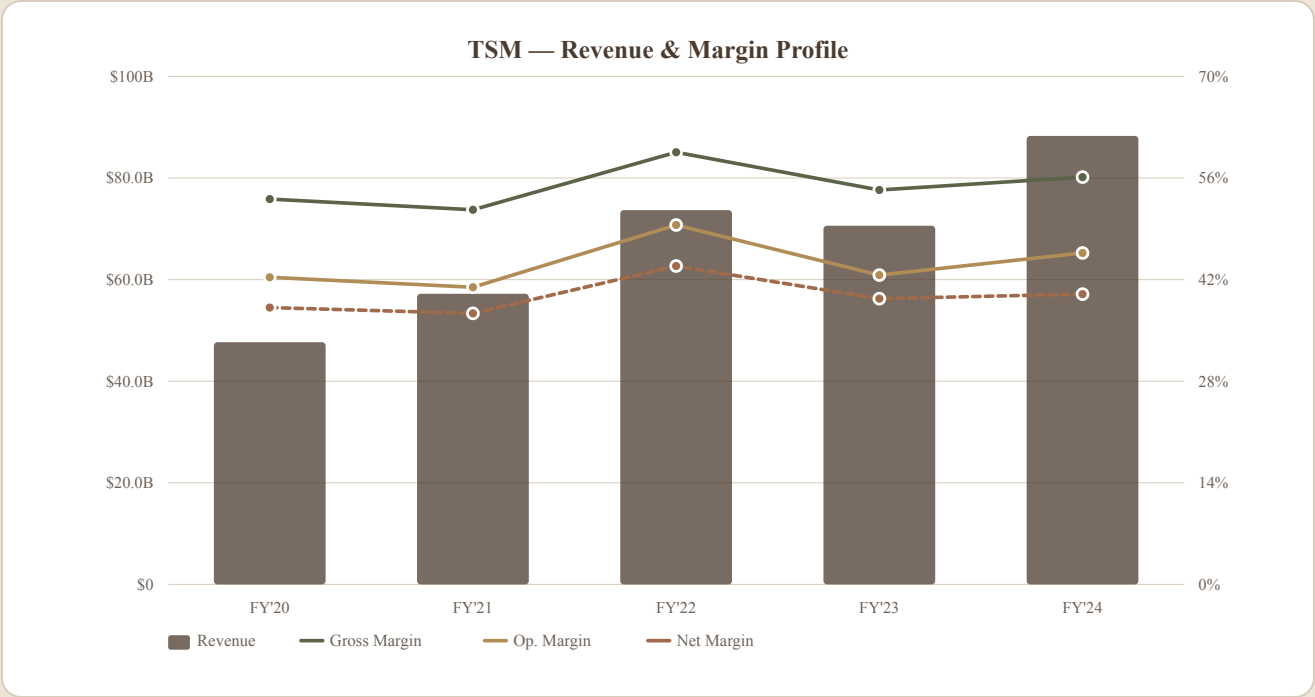
Net Income
$35.3B

Operating Margin
45.7%

Free Cash Flow
$26.5B

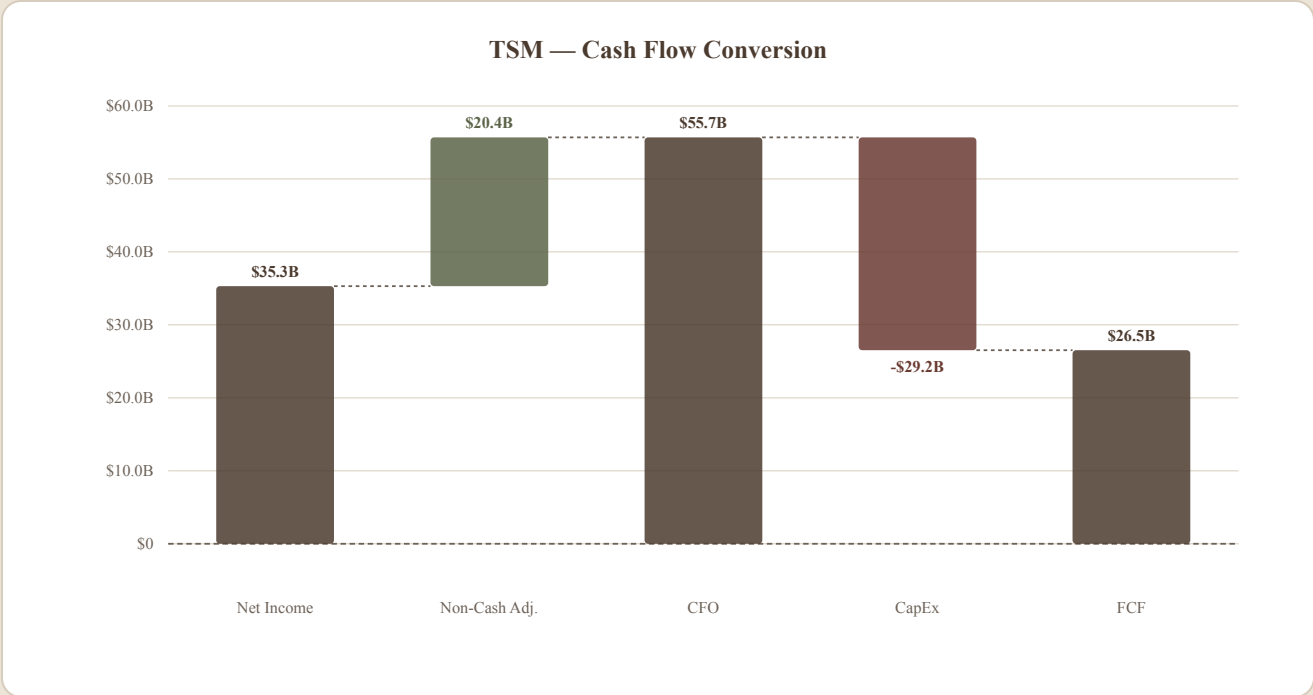
Visual Highlights

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$49.5B	$38.4B	29.1%
Return on Equity	29.0%	24.6%	17.8%
Return on Assets	18.4%	15.4%	19.3%
Gross Margin	56.1%	54.4%	3.2%
Operating Margin	45.7%	42.6%	7.2%
Net Margin	40.0%	39.4%	1.6%
Earnings Per Share (Diluted)	$1.36	$1.07	27.1%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$94.2B	$71.7B	31.4%
Current Liabilities	$39.9B	$30.8B	29.6%
Cash & Equivalents	$64.9B	$44.7B	45.2%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	$6.3M	$30M	-79.1%
Long-Term Debt	Not reported	Not reported	Not reported
Short-Term Debt	Not reported	Not reported	Not reported
Total Debt	Not reported	Not reported	Not reported
Current Ratio	2.36x	2.33x	1.4%
Debt-to-Equity	Not reported	Not reported	Not reported

Key Metrics Dashboard (Cont.)

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$88.3B	$70.6B	25.0%
Gross Profit	$49.5B	$38.4B	29.1%
Operating Income	$40.3B	$30.1B	34.0%
Net Income	$35.3B	$27.8B	27.0%
Total Assets	$204B	$181B	13.0%
Total Liabilities	$73.6B	$67.9B	8.4%
Stockholders' Equity	$131B	$113B	15.7%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$55.7B	$40.6B	37.3%
Cash at End of Period (cash-flow statement)	$64.9B	$44.7B	45.2%
Capital Expenditures	-$29.2B	-$31.0B	-6.0%
Free Cash Flow	$26.5B	$9.54B	178.1%

Commentary

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

- Total Liabilities stands at $73.6B (23.5% CAGR). The pace of expansion has been pronounced, suggesting a structural shift in scale or demand.
- Operating Income stands at $40.3B (17.5% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.
- Total Assets stands at $204B (17.2% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.

Watch items

- No major quantitative red flags are active in the locked annual snapshot; continue monitoring margin durability and cash conversion.

Analyst interpretation

- Gross margin of 56.1% supports healthy unit economics and room for operating-expense absorption.
- ROE of 29.0% exceeds the 15% institutional threshold, reflecting productive deployment of book equity.
- Revenue surged 25.0% year over year, indicating a step-change in demand or market expansion.

Appendix

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — TSM Income Statement

Metric	FY2024	FY2023
Revenue	$88.3B	$70.6B
Cost of Revenue	$38.7B	$32.2B
Gross Profit	$49.5B	$38.4B
Operating Income	$40.3B	$30.1B
Net Income	$35.3B	$27.8B
EPS (Basic)	$1.36	$1.07
EPS (Diluted)	$1.36	$1.07
Weighted Avg Shares (Diluted)	25.9B	25.9B
R&D Expenses	$6.23B	$5.96B
Pretax Income	$42.9B	$32.0B
Income Tax Expense	$7.57B	$4.19B

Appendix B — TSM Balance Sheet

Metric	FY2024	FY2023
Total Assets	$204B	$181B
Total Liabilities	$73.6B	$67.9B
Total Stockholders' Equity	$131B	$113B
Current Assets	$94.2B	$71.7B
Current Liabilities	$39.9B	$30.8B
Cash & Equivalents	$64.9B	$44.7B
Inventory	$8.78B	$8.20B
Accounts Receivable	$8.26B	$6.57B
Marketable Securities	$6.3M	$30M
Other Current Assets	$1.32B	$856M
Retained Earnings	$118B	$102B
AOCI	$1.18B	-$925M

Appendix (Cont.)

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix C — TSM Cash Flow Statement

Metric	FY2024	FY2023
Operating Cash Flow	$55.7B	$40.6B
Capital Expenditures	-$29.2B	-$31.0B
Investing Cash Flow	-$26.4B	-$29.6B
Financing Cash Flow	-$10.6B	-$6.69B
Dividends Paid	-$11.1B	-$9.53B
Depreciation	$19.9B	$17.1B
Amortization of Intangibles	$280M	$302M
Net Change in Cash	$20.2B	$4.00B
Cash at End of Period (cash-flow statement)	$64.9B	$44.7B

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
TSM	0001046179	0001193125-25-083423	20-F	2025-04-17	https://www.sec.gov/Archives/edgar/data/1046179/000119312525083423/d896993d20f.htm
TSM	0001046179	0001193125-24-099840	20-F	2024-04-18	https://www.sec.gov/Archives/edgar/data/1046179/000119312524099840/d592628d20f.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-09.

Disclaimer: For research use only; not investment advice.